CASCADIA ANALYTICS

INVESTMENT SCORECARD

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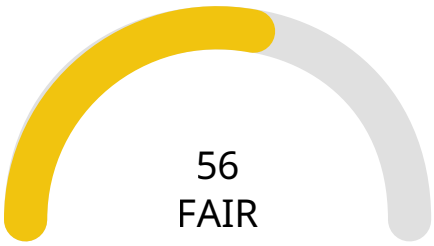
AeroVironment, Inc. (NASDAQ)

As-of: 17-Oct-2026 | Latest Filing: Q1 FY27 (10-Q) | Currency: USD

$117.63 [Mkt 17-Oct-26]

Market Cap: $6.19B [Mkt 17-Oct-26]

Attractiveness Score



Confidence: **Medium** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 62

The dominant listed pure-play on US tactical drones and loitering munitions, now with BlueHalo's space and directed-energy portfolio and a record backlog. Offsets: GAAP unprofitable, adjusted EBITDA margin slipped to 11.1% in Q1, an $89M goodwill impairment on the cancelled SCAR program, and a disclosed material weakness in internal controls.

2. Recent Trend — 60

Q4 FY26 was a genuine blowout: 30% pro-forma revenue growth, 22% adjusted EBITDA margin, full-year adj EBITDA of $286M beating guidance. But Q1 FY27 organic revenue fell 3.5% ex-ESAero, Switchblade sales dropped $56.9M on order delays, and the Q3 restatement plus control failure dents confidence.

3. Forward Growth — 68

FY27 guide is sober: revenue up only ~10% with adjusted EPS essentially flat at $3.02-$3.34. Back-end loading depends on the spring 2027 defense budget. The pipeline is the bright spot: $1.5B funded backlog, LOCUST, Titan, P550, and the ~$1B FE-1 missile opportunity.

4. Valuation — 44

DCF base $80.18 implies 32% downside at $117.63. NTM P/E of 27.6x on flat EPS guidance and EV/Revenue of 3.1x NTM are full prices for 10% growth. The defense premium has outrun the fundamentals.

5. Catalysts & Risk 50

Near-term positives: defense budget funding in spring 2027, LOCUST and Titan production ramps, Q2 FY27 earnings showing organic recovery. Risks skew negative: appropriations timing, Switchblade delays, negative FY27 FCF on heavy CapEx, the internal-controls weakness, and valuation leaving no room for error. Risk-skewed.

Investment Thesis

- **Backlog Machine:** Funded backlog hit a record $1.5B [8-K guid], up 37% YoY, with $683M in Q1 bookings and a 1.4x book-to-bill. Demand for US tactical drones and counter-UAS is real and contracted.
- **Q1 FY27: Record Revenue, Thinner Margin:** Q1 FY2027: revenue up 5.7% YoY to a record $480.5M, adjusted EPS of $0.59 against a $0.25 estimate, bookings of $683M for a 1.4x book-to-bill and a record $1.5B funded backlog. The margin side was softer: adjusted EBITDA of $53.4M (11.1% of revenue) fell 5.6% YoY as Switchblade sales dropped $56.9M on order delays and organic revenue fell 3.5% ex-acquisition [8-K guid].
- **Right Business, Wrong Price:** At $117.63 [Mkt 17-Oct-26], the DCF base of $80.18 [Cons] implies 32% downside. FY27 growth is only ~10% with flat adjusted EPS [8-K guid], yet the stock prices a defense supercycle. Healthy company, stretched multiple. We rate the shares Hold, Valuation Concerns: the business is healthy, and the price is the problem.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q1 FY27)	$480.5M [8-K guid]	+5.7% [8-K guid]	Up
Adjusted EPS (Q1 FY27)	$0.59 [8-K guid]	+84% [8-K guid]	Up
Funded Backlog	$1.5B [8-K guid]	+37% [8-K guid]	Up
Adjusted EBITDA (Q1 FY27)	$53.4M [8-K guid]	-5.6% [8-K guid]	Down
FY2027 Revenue Guide	$2.175B mid [8-K guid]	+10% [8-K guid]	Flat
Free Cash Flow (Q1 FY27)	-$36M [8-K guid]	vs -$146.5M [8-K guid]	Up
Long-Term Debt	$730M [10-Q Q1 FY27]	n/a [n/a]	Flat

Historical Financial Trend

Metric	FY23	FY24	FY25	TTM	FY27E
Revenue	$540.5M [10-K]	$716.7M [10-K]	$820.6M [10-K]	$2.0B [Mkt 17-Oct-26]	$2.175B [8-K guid]
Gross Margin	n/a [n/a]	n/a [n/a]	n/a [n/a]	26.5% [Mkt 17-Oct-26]	n/a [n/a]
Op Margin	n/a [n/a]	n/a [n/a]	n/a [n/a]	-2.3% (Q1 FY27) [8-K guid]	n/a [n/a]

Valuation

Absolute (3/10)

P/E (fwd) 27.6x [Cons]
DCF Base $80.18 [Cons]
EV/Revenue (NTM) 3.1x [Cons]

DCF implies 32% downside. Paying 27.6x forward earnings for a company guiding flat adjusted EPS is a steep price even for a defense compounder.

Versus Peers (4/8)

Defense primes trade ~15-20x forward earnings [Peers 17-Oct-26]

AVAV carries a premium to traditional primes on growth expectations, but FY27 guidance growth of ~10% does not justify the gap.

Versus History (4/7)

Shares fell over 40% YTD before the Q4 bounce [Cons]

The stock trades below its prior peaks but above its pre-BlueHalo multiple range; the defense premium expanded without earnings to match.

Catalyst Timeline

Nov 2026 [Cons]
Q2 FY27 Earnings (Two-Sided): Must show organic recovery after Q1's -3.5% ex-acquisition decline and the Switchblade order delays.

Spring 2027 [8-K guid]
Defense Budget Funding (Positive): Management assumes new defense budget funds their programs; a funding unlock de-risks the FY27 plan.

Top Risk Factors (Item 1A)

1. Appropriations Timing: Management's FY27 plan assumes the new defense budget funds its programs starting spring 2027. Any delay in appropriations pushes the back-half-loaded growth plan further out. [8-K guid]

2. Switchblade Volatility: Switchblade sales fell $56.9M in Q1 FY27 on order delays. The company's flagship loitering munition is lumpy and timing-dependent. [8-K guid]

> **2026-2027** [8-K guid]
> LOCUST and Titan Ramp (Positive): $465M Army LOCUST award and $500M Titan IDIQ enter production; counter-UAS is the fastest-growing segment.

What Would Change Our Score

We rate the shares Hold, Valuation Concerns. We do not see a deteriorating business: the most recent reported quarter, Q1 FY2027, printed a Bullish earnings verdict, with adjusted EPS of $0.59 against a $0.25 estimate and revenue of $480.5M against a $456M consensus, and management reaffirmed the FY2027 revenue guide of $2.125B to $2.225B — about 10% above FY2026 actual revenue of $1,976.8M, with adjusted EPS essentially flat. Funded backlog is a record $1.5B. That record is why a Sell rating is not warranted. The Valuation Concerns qualifier is why we go no further than a Hold: our base case of $80.18 sits 32% below the $117.63 reference price, so the price, not the business, is the problem. A Q2 FY2027 quarter with organic revenue growth and Switchblade order recovery would lift Trend and Growth. A spring 2027 appropriations delay, another controls issue, or evidence that the business itself is deteriorating would change our view and would push the stock toward the $80.18 base case.

3. Controls and Execution: The Q3 FY26 restatement included an $89M goodwill impairment on the cancelled SCAR space program plus a disclosed material weakness in internal controls. New CFO is still settling in. [10-Q Q1 FY27]

Forward Growth Drivers

- Record $1.5B funded backlog, up 37% YoY, with 1.4x book-to-bill and $2.8B total funded plus unfunded backlog [8-K guid]
- Counter-drone and directed energy: $465M Army LOCUST contract plus $500M Titan IDIQ [8-K guid]
- BlueHalo acquisition adds space, cyber, and directed-energy portfolios to the core drone franchise [8-K guid]

Missing / Modified Data Log

- TTM gross and operating margins sourced from market data (yfinance); historical gross margin by year not in local dataset.
- Organic vs acquired revenue split for Q1 FY27 taken from earnings coverage (financialreportinsights.com); management did not disclose exact figure.
- Adjusted EPS and adjusted EBITDA reconciliation items (BlueHalo amortization, deal costs) noted qualitatively.

This scorecard is for educational and informational purposes only. It is not financial, investment, or tax advice, and nothing here is a recommendation to buy or sell any security. It is generated by an AI model and does not consider your individual circumstances. All figures are approximate, may be out of date, and are not guaranteed to be accurate. Verify independently and consult a licensed professional before investing. You are responsible for your own investment decisions.

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